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Low state capacity changes policy design

The grand story of infrastructure in India is instructive. By the late 1990s there was universal mistrust of public production of infrastructure services, and the policy community moved towards private production. It was felt that a private person will run infrastructure assets better, as we lack the state capacity to run these assets.

With the benefit of hindsight, we know that contracting and regulation of private infrastructure providers *also* require considerable state capacity. The simplistic notion—of shifting infrastructure provision away from a low-capability state to private providers—was wrong.

How then should we think more carefully about the optimal pathways when we have low state capacity?

How does our thinking about public policy change when we possess low state capacity?

Just a down-sized Sweden?

Consider the contrast between Sweden and India. The expenditure/GDP ratio in Sweden is about twice that in India. The management capability in public policy in Sweden is much superior to that seen in India. If the Swedish leadership decides to establish universal HPV immunization for children, it's easy to translate this intent into action. But in India, it is quite a challenge for the leadership to implement such a decision. Sweden has more state capacity.